Theory case · Topic 2 · 2 points · 15 min

C19 — SkyEye Drones: mapping activities onto Porter's value chain

SkyEye Drones S.L. makes surveying drones. Its activities include: (1) receiving and storing motors and cameras from suppliers; (2) assembling and testing the drones; (3) packing and shipping them to customers; (4) online advertising and demonstrations to surveying firms; (5) repairs and software updates after sale; (6) negotiating contracts with component suppliers; (7) recruiting and training technicians; (8) developing the flight software and testing new materials; (9) accounting, legal advice, quality assurance and general management.

Part (a) · 1.25 points

Classify each activity as a primary or a support activity of the value chain, naming it

Activity	Value-chain activity	Type
1. Receiving and storing components	Inbound logistics	Primary [Slide 30]
2. Assembling and testing	Operations	Primary
3. Packing and shipping	Outbound logistics	Primary
4. Advertising and demonstrations	Marketing and sales	Primary
5. Repairs and updates after sale	Service	Primary
6. Negotiating with suppliers	Procurement	Support [Slide 31]
7. Recruiting and training	Human resource management	Support
8. Flight software and materials	Technological development	Support
9. Accounting, legal, quality, management	Infrastructure	Support

KEY POINTS

- Primary: 1 inbound logistics, 2 operations, 3 outbound logistics, 4 marketing and sales, 5 service.
- Support: 6 procurement, 7 HRM, 8 technological development, 9 infrastructure.

Part (b) · 0.75 points

Explain what the value chain is for and where SkyEye's margin comes from

The value chain (Porter, 1985) shows that a firm is not a random collection of resources but a set of **activities** that produce goods customers are willing to pay for; together they produce the **margin** shown at the end of the chain [Slide 29], usually read (extension) as the difference between what customers pay and the cost of all the activities. The **management of the activities and of their linkages** is what gives the competitive advantage: for SkyEye, the link between technological development (activity 8) and service (activity 5) allows software updates that keep old drones competitive, a reason for customers to pay more.

KEY POINTS

- The activities together produce the margin [Slide 29], read (extension) as what customers pay minus the cost of all activities.
- Competitive advantage comes from managing the activities and their linkages (e.g. software development linked to after-sales updates).